

opment of organic materials and technologies for superior OLED displays, Nexus—a healthcare equipment maker, Harman International—engaged in the development, manufacture, and marketing of audio products and electronic systems, among others. Samsung also operates into the semiconductors space under the Samsung Semiconductors brand name.

Now not so famous in the smartphone arena, LG is another parent company that has its wings spread over to supplying components ranging from display panels to ones used in the automobile industry. As a matter of fact, both LG and Samsung are known to be amongst the biggest suppliers of display panels used by Apple in iPhones and other products it offers in the market.

Even the likes of Xiaomi and BBK are known to source components from the likes of Samsung. The one-umbrella-different-brands strategy has actually enabled these competitors in the end consumer market to do business with each other in the B2B market.

The greatest examples from India of how an electronics parent brand can evolve using different brands can be drawn from two organisations, namely, Super Plastronics Private Limited (SPPL) and Videotex International (Videotex). Both these organisations sell smart TVs under different brand names in India. While SPPL retails Thomson and Kodak brand TVs in the country, Videotex retails TVs under Shinco, Telefunken, and some other brands.

The unique selling point (USP) for these parent organisations is based on the fact that they can and have positioned different brands in different channels. One can easily find one brand going heavy in the online market and the other going heavy in the offline market.

Refer to these statements made in a report by IDC and one will find how Vivo (from the house of BBK) scored well in the offline market and Realme (also from the house of BBK) scored well in the online market. Both the statements refer to the same quarter performance.

First statement goes, “Vivo was at the third position, with shipments declining by three percent YoY. However, it continued to maintain its lead

in the offline channel with a 29 percent share, ahead of Samsung. It regained its title sponsorship for the IPL cricket league, ensuring high decibel promotional activities around newly launched models in March and April of 2021.”

Second one states, “Realme slipped to the fifth slot after falling four percent YoY in 1Q21. It continued to be the third-largest online brand with a 16 percent share and more than two-thirds of its shipments going through the online channel. The company also launched the most affordable 5G model, the Narzo 30 Pro in 1Q21, expanding deeper into the 5G space.”

There have also been instances where a parent organisation has used a smaller, less known brand to test features of a product among users before embedding those features into the bigger and better known brands. For example, while OnePlus is said to be the flagship brand from the house of BBK, it never rolled out the gimbal camera feature in smartphones that were OnePlus branded. BBK, till now, continues to launch smartphones with gimbal cameras that are branded as Vivo. One can rightly anticipate that OnePlus will come out with a gimbal camera embedded on it anytime soon.

“Not all the brands have the capability to manufacture all the components used in a product. More often than not, new brands rely on established businesses like Samsung and LG to source components like memory semiconductors and display panels,” says the analyst.

The tax slabs

Sometimes entities registered with separate credentials in the country pay taxes according to the earnings they make, irrespective of the parent organisation that owns them. For instance, an electronics organisation originating from China but set up under different brand names in India could be paying taxes in accordance with the sales made by their different brands.

For example, if a parent company named A owns two brands by the name of B and C, it will pay taxes for these two brands if both of them are registered under name A in the country. However, if the brands B and C are registered in different capacities in the country, then both B and C will end up

paying taxes for themselves.

This simply means that two smartphone brands operating under the same parent brand might end up paying less tax if these were registered as different companies. However, if the parent brand has to file taxes for them, it will end up paying more as the figures might attract higher tax slabs due to their combined profits.

The other advantage of the strategy can be in the form of closing down the not so good functioning brand economically. For example, if one of the smartphone brands of a parent company is not working out, the parent brand can choose to cease operations of the brand without affecting the performance of its other brands in the market.

There are a handful of consumer electronics brands in India which have ceased operations in terms of launching new products or categories but have partnered with international companies owing to the big channel of sales they were able to develop during the good times. Micromax, in 2019, had announced partnership with Huawei where the latter was looking to leverage the former’s channel of sales to expand in the country. Micromax, at that time was suffering from poor smartphone and other consumer electronics segment sales.

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The advantages of having a different brand strategy can work out for a lot of companies out there but the same requires detailed planning. From appointing product heads and teams that cater to different brands, to making sure that the brands complement each other and not compete with each other, it can be a perilous task, but time has proved that it is not an impossible task. **EFY**

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